

be beneficial for investors that are looking for immediate liquidity.

"I feel this could be highly beneficial to retail [investors] who come with limited cash into the market, and this would revolutionise the trading landscape for the same small investors," says Prashanth Tapse, Senior VP (Research), Mehta Equities.

"Shortening of the settlement cycle means optimal utilisation of funds to make best-in-time returns to swing traders. This shift will

ON THE FIRST DAY, 63 MEMBERS PARTICIPATED WITH 41 TRADING IN SHARES OF 10 COMPANIES

substantially reduce the risk exposure for retail investors, and the system guarantees same-day access to funds and securities, thereby mitigating counterparty and duration risks," adds Tapse.

Though it may take some time for the real impact of the shorter settlement cycle to become apparent, there is no denying that the T+0 mechanism is a win-win for all stakeholders in the Indian capital markets.

Like Sebi has said, "A shortened settlement cycle will bring cost and time efficiency, transparency in charges to investors, and strengthen risk management at clearing corporations and the overall securities market ecosystem." **BT**

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ELECTORAL BONDS

Lifting the Veil of Anonymity

With electoral bond data being released, will corporates disclose details of their purchases to their shareholders?

BY SURABHI

► **SIX YEARS AFTER** the electoral bonds scheme was launched as a mechanism to cleanse the system of political funding, the Supreme Court held it as unconstitutional and manifestly arbitrary, mandating the disclosure of all details of bond purchases and their redemptions by political parties. In the process, this has brought donations by corporate houses to political parties out in the open.

An analysis by the Association for Democratic Reforms (ADR), a non-profit organisation, which was also one of the petitioners in the case, revealed that out of the total 18,871 bonds worth ₹12,155.51 crore purchased between April 12, 2019, and February 15, 2024, 16,631 were bought by corporate and business houses and 2,240 bonds by individuals.

In all, corporate and business houses purchased electoral bonds worth ₹11,780.0297 crore or 96.91% of the total, while individuals bought bonds worth ₹375.48 crore or 3.09% of the entire pool.

The top 25 corporate donors come from diverse sectors, including lottery, infrastructure, real estate, telecom, health, and pharma. Lottery firm Future Gaming and Hotel Services was the largest buyer; it purchased bonds worth ₹1,368 crore, fol-

lowed by Megha Engineering & Infrastructures that spent ₹966 crore on bonds, and Qwik Supply Chain, which bought bonds worth ₹410 crore.

Other big corporate players that purchased electoral bonds include Vedanta Ltd (₹400.6 crore), Haldia Energy (₹377 crore), Essel Mining and Industries (₹224.5 crore), Western UP Power Transmission Company (₹220 crore), Bharti Airtel (₹198 crore) and DLF Commercial Developers (₹130 crore).

96.91

per cent

OF THE TOTAL ELECTORAL BONDS WAS BOUGHT BY CORPORATE HOUSES

The electoral bonds scheme was announced in the Union Budget 2017-18 by the then finance minister Arun Jaitley. The bonds could be purchased for any value as bearer instruments through the State Bank of India, without revealing the name of the donor, thereby enabling anonymity.

While speculation abounds over possible quid pro quo, experts point out that the donors